

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

SM LINE CORPORATION,

Respondent.

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Docket No. 23-01

**COMPLAINANT’S OPPOSITION TO RESPONDENT’S RENEWED
MOTION FOR LEAVE TO FILE THIRD PARTY COMPLAINT**

Complainant Samsung Electronics America, Inc. (“SEA”), submits this Opposition to Respondent SM Line Corporation’s (“SM Line”) Renewed Motion for Leave to File Third-Party Complaint (“Renewed Motion” or the “Third-Party Complaint”).

SM Line’s first effort to file a Third-Party Complaint did not allege that [REDACTED]

[REDACTED]

(collectively “ [REDACTED] ” or “Third-Party Respondents”) violated any prohibitions of the Shipping Act. Having failed to allege Shipping Act violations by [REDACTED] as required for any complaint pursuant to Rule 502.62(b)(4), the Presiding Officer denied SM Line’s request for leave to file. Undeterred, SM Line tried again. In its Renewed Motion, SM Line has attached a complaint, alleging violations of 46 U.S.C. § 41104(a), § 41102(a)(14), and 46 CFR § 515.31(e). However, SM Line’s Renewed Motion fails for substantially the same reasons as its prior motion: (1) SM Line failed to allege any plausible Shipping Act violations against [REDACTED]; (2) SM Line fails to allege *prima facie* personal jurisdiction over the proposed [REDACTED] for what appear to be service contract claims against shippers; and (3) the Renewed Motion fails to meet any of the required four factors for permissively allowing a belated proposed Third-Party

Complaint. Allowing a Third-Party Complaint in this matter, over five months into discovery and as preparations for deposition and expert discovery are underway, would prejudice SEA's prosecution of its claims. Therefore, the Presiding Officer should deny the Renewed Motion.

ARGUMENT

I. The Complaint and the Motion Do Not Allege Any Plausible Violations of the Shipping Act Against Proposed Third-Party Respondents

The Federal Maritime Commission's ("FMC" or "Commission") Rules require that a Third-Party Complaint "***must allege*** and be limited to violations of the Shipping Act within the jurisdiction of the Commission." 46 C.F.R. § 502.62(b)(4) (emphasis added). Both SM Line's motion and Third-Party Complaint fails to satisfy the standard for alleging only Shipping Act violations, and fails to allege any plausible violation of the Shipping Act.

A. Count I - 46 U.S.C. § 41104(a)

SM Line's Count I, which is set forth in Section IV, ¶¶ 41-47 of the Third-Party Complaint, materially misrepresents and misunderstands what constitutes a violation under Section 41104(a). To establish a Section 41104(a) violation, SM Line must first establish that [REDACTED] acted as a *common carrier* on the applicable shipments: (1) whether they are "holding out" to the general public to provide transportation by water; (2) assuming responsibility for the transportation by water; and (3) using an ocean vessel for all or part of the transportation for the shipments at issue. 46 U.S. Code § 40102(7); *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 162 (FMC 2001); *Logfret, Inc. v. Kirsha, B.V.*, 2019 WL 4689188, (ALJ Sept. 17, 2019). SM Line's Third-Party Complaint provides no factual support for the allegation that either [REDACTED] acted as a common carrier for the SM Line shipments at issue. Paragraph 44 of the proposed Third-Party Complaint only conclusorily avers that "Third-Party Respondents hold themselves out as international ocean transportation service providers and provide a wide range of

shipping and logistics services,” Ren. Mot. at 289, but this is insufficient to meet the *prima facie* burden of alleging that one of the entities was acting as a common carrier over specific shipments at issue. Instead, it is evident from the Third-Party Complaint, and the exhibits, that neither [REDACTED] acted as common carriers. [REDACTED]

[REDACTED] Ren. Mot. at 15.

B. Count II - 46 U.S.C. § 41102(a)

SM Line’s Count II is set forth in Section IV, ¶¶ 48-52 of the Third-Party Complaint. SM Line cites Section 41102(a), which provides that a “person may not knowingly and willfully... obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” Ren. Mot. at 290, at ¶ 49; 46 U.S.C. § 41102(a). Nowhere in SM Line’s Motion or proposed Third-Party Complaint does SM Line allege facts establishing a Section 41102(a) violation. In Paragraphs 50-52 of the proposed Third-Party Complaint, SM Line sketches out an alleged “conspiracy” that (1) [REDACTED] is assisting SEA in recouping the charges paid to SM Line, (2) that the Initial Complaint is “an attempt by [REDACTED] and SEA to avoid” service contract terms, and (3) if SEA’s Initial Complaint is successful, it would mean that SEA and [REDACTED] obtained ocean transportation at less than the rates or charges established by the service contracts. Ren. Mot. at 288-89, 291.

But this “conspiracy” advanced by SM Line is nonsensical as it is beset by an internal contradiction. It first assumes that if SEA succeeds in its underlying complaint, any resulting refunds/reparations awarded to SEA by the FMC would result in a violation of the Shipping Act. But, if one were to accept SM Line’s theory as true, it would mean that the demurrage and detention

charges paid by SEA to SM Line were deemed unlawful, and therefore, an award of reparations to SEA would not result in a violation of the Shipping Act.¹

As the alleged violations are nothing more than legal conclusions, lacking alleged underlying facts in support of the conclusory allegations, and therefore are not entitled to the assumption of truth. *See Maher Terminals, LLC, v. Port Auth. of N.Y. & N.J.*, 2015 WL 9426189, at *13, (FMC Dec. 18, 2015) (“conclusions can provide a framework, but they must be supported by factual allegations”). Sufficient pleading “demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation and that threadbare recitals of the elements of a cause of action supported by mere conclusory statements, do not suffice.” *Id.* This is especially the case where the allegedly unlawful conduct is also consistent with legally-permissible behavior—here, SEA lawfully pursuing its Shipping Act claims against SM Line. *Id.* at *15.

Moreover, Section 41102(a) requires a showing of “fraud or concealment”, and such matter must be plead with sufficient particularity in conformity with Federal Rule Civil Procedure 9(b), which SM Line has failed to do.² Rule 9(b) requires that “[i]n all averments of fraud or mistake, the circumstances constituting fraud or mistake shall be stated with particularity.” This requirement is intended “to provide a defendant with fair notice of a plaintiff’s claim, to safeguard a defendant’s reputation from improvident charges of wrongdoing, and to protect a defendant against the institution of a strike suit . . .” *O’Brien v. Nat’l Property Analysts Partners*, 936 F.2d 674, 676 (2d Cir. 1991) (quotations omitted). The Third-Party Complaint includes none of the

¹ *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 2013 WL 9808669, at *50 (ALJ July 9, 2013). In the absence of evidence of bad faith or deceit, the FMC will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight.

² *Mitsui O.s.k. Lines Ltd. v. Global Link Logistics, Inc.*, 2011 WL 7144008, at *35 (FMC Aug. 1, 2011).

required factual allegations about the alleged misconduct, or offer any plausible explanation as to how [REDACTED] conduct would constitute Shipping Act violations.³

The second part of FMC Rule 502.62(b)(4) requires that a third-party complaint “***must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission.***” 46 C.F.R. § 502.62(b)(4) (emphasis added). The Renewed Motion and Third-Party Complaint fails to satisfy the second part of Rule 502.62(b)(4) for two reasons. First, the alleged basis for SM Line’s Section 41102(a) violations are entirely contractual and presumably breach of contract, which are not within the Commission’s jurisdiction. Second, SM Line fails to articulate how the FMC would legitimately have personal jurisdiction over [REDACTED] [REDACTED] not as NVOCCs. Moreover, the allegation contained in SM Line’s motion and Third-Party Complaint that it “did not assess, collect, or receive all or any portion of the storage charges herein at issue” and “two affiliates of Complainant are now understood to be responsible for these charges,” Mot. at 1; Ren. Mot. at 2, was previously rejected on October 30, 2023 by the Presiding Officer who concluded them to be “a general denial of Complainant’s allegations, and not the basis for a Third-Party Complaint.” Dkt. No. 30.

The Commission’s jurisdiction is limited to determining whether there has been a violation of the Shipping Act. *See* 46 U.S.C. § 41301(a); 46 C.F.R. § 502.62(b)(4); *Rahal Int’l Inc. v. Hapag-Lloyd AG*, 2023 WL 5846578, at *1–2 (ALJ Sept. 6, 2023). Alleged breach of service contract breaches do not implicate either the exclusive or primary jurisdiction of the FMC. *In re Containership Co. (TCC) A/S*, 466 B.R. 219, 229 (Bankr. S.D.N.Y. 2012). The mere argument that one of the two entities is a licensed NVOCC that “engages in shipping and logistics in the United

³ *See, e.g., Total Benefits Planning Agency, Inc. v. Anthem Blue Cross & Blue Shield*, 552 F.3d 430, 434 (6th Cir. 2008) (“A plaintiff must allege enough factual matter . . . to suggest that an agreement was made, and an allegation of parallel conduct and a bare assertion of conspiracy will not suffice.”) (quotations omitted).

States,” Ren. Mot. at 9, is insufficient to meet a *prima facie* burden to allege personal jurisdiction over specific shipments here. And to the extent that SM Line has causes of action against [REDACTED] in connection with its purported service contracts, as previously addressed in the opposition to the first motion for leave, any contractual disputes thereunder would be subject to litigation and/or arbitration under foreign law in foreign jurisdictions. See Opp. to Mot. for Leave, at 4, Dkt. No. 26. In determining “whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act,” *TCC*, 466 B.R. at 227, SM Line has the burden of rebutting the presumption that these allegations are inherently claims for breach of contract and it has failed to satisfy this threshold requirement. *Id.* at 227 n.3.

C. 46 CFR § 515.31(e)

SM Line’s Count III is set forth in Section IV, ¶¶ 53-55 of the Third-Party Complaint. Paragraph 53 cites to the language of Section 515.31(e) and Paragraphs 54-55 provide conclusory allegations without any factual support. To constitute a violation of 46 CFR § 515.31(e), a knowledge requirement must be satisfied, which SM Line fails to address. Nowhere does SM Line provide any basis for the conclusion that [REDACTED] prepared or assisted in the preparation of documents that they *knew* to be false or fraudulent. Similar to its other pleadings, SM Line makes conclusory allegations and does not plausibly allege any unlawful actions by [REDACTED]

D. The Renewed Motion Fails to Satisfy the Factors Relevant to Exercise the ALJ’s Discretion to Permit a Third-Party Complaint

When a party seeks leave to file a Third-Party Complaint more than fourteen days after serving its original answer, “the third-party plaintiff must, by motion, obtain the court’s leave.” Fed. R. Civ. P. 14(a)(1). When contemplating such a motion for leave, the Presiding Officer in its discretion will look to the following factors: (1) the timeliness of the motion, (2) whether impleader will disadvantage the existing action by delaying or complicating the trial with extraneous

questions, (3) whether the impleader will cause prejudice to the original plaintiff, and (4) whether the proposed Third-Party Complaint alleges a cause of action for which relief may be granted. *Helperich Pat. Licensing, LLC v. Legacy Partners, LLC*, 917 F. Supp. 2d 985, 988 (D. Ariz. 2013); Dkt. No. 30, (Oct. 30, 2023) (*citing Helperich*).

1. SM Line Unreasonably Delayed Filing the Third-Party Complaint

SM Line utterly fails to satisfy this factor. SM Line claims that it “only recently identified” [REDACTED] as “specific third-party defendants.” That is simply not credible. SM Line knew, or certainly should have known, the identity of the parties to whom it alleges it entered into service contracts. Moreover, SM Line identified both [REDACTED] entities in its answer to the Complaint on May 12, 2023: alleging that “SEA has failed to join other critical and necessary parties to this proceeding, including... [REDACTED]

[REDACTED] Ans. & Affirm. Def. ¶ 9. SM Line did not move to dismiss on the basis of failure to join the allegedly necessary parties, nor did SM Line seek file a Third Party Complaint at that time. SM Line does not point to any new evidence obtained in discovery. Instead, SM Line points to a handful of documents *not* produced in discovery, that it presumably already had in its possession before discovery commenced. *See* Ren. Mot. at 3-4. SM Line also claims that it “needed time to review the documents produced during the past month by SEA to ensure itself that its claim was justified.” Ren. Mot. at 8. But this is wholly unpersuasive as SM Line does not explain why it needed additional time to ensure its claim was justified after it had already filed its first Motion for Leave to File a Third-Party Complaint. The facts show that SM Line was dilatory in filing its Renewed Motion. *See Botkin v. Tokio Marine & Nichido Fire Ins. Co.*, 956 F. Supp. 2d 795, 803 (E.D. Ky. 2013); *Dispute Resolution Mgmt., Inc. v. Greenberg Traurig, LLP*, 2004 WL 235270,

at *2 (S.D.N.Y. Feb. 9, 2004) (denying Third-Party Complaint where “the facts in the record undermine[d] defendants’ allegation that they only recently learned of” the allegedly new facts).

2. A Third-Party Complaint Would Add New Issues, Delay, and Complicate the Prompt Resolution of this Proceeding

SM Line argues that the Third-Party Complaint would not involve new issues or complicate or delay resolution of SEA’s complaint because: (1) the FMC allegedly has jurisdiction over the proposed Third-Party Respondents, (2) the case involves violations of the Shipping Act by [REDACTED] (3) the Presiding Officer issued an order granting Complainant’s motion for extension of scheduling order; (4) the contracts between SM Line and [REDACTED] would be the object of discovery; and (5) if SM Line cannot implead [REDACTED] into this proceeding, then SM Line will be forced to file a new complaint with the FMC. Ren. Mot. at 9-10. Each of these assertions is incorrect, irrelevant and misleading.

First, the jurisdictional argument is off-point. One does not get to the discretionary factors at all unless jurisdiction is already present; the fact that it is contested is no help to SM Line on this factor. SM Line’s cause of action under the Shipping Act also fails, but even if it did not, the question is whether its purported Shipping Act claims against [REDACTED] would complicate the case, which they would. SM Line threatens that if it cannot implead new parties into this proceeding it will be forced to file a separate FMC complaint. But the lack of plausible Shipping Act claims in the proposed Third-Party Complaint would fare no better in a new complaint.

The remainder of the arguments seem to suggest, without support or explanation, that adding contract based claims against new parties would not delay or complicate the proceeding, including because SM Line asserts that the new parties would necessarily be involved in discovery and because the Scheduling Order has been extended. But in reality, permitting SM Line to file a Third-Party Complaint at this stage of the case would throw a wrench in a process that has been

proceeding since April 2023, where document production closed on October 17, 2023, and depositions are to be completed at the end of January 2024 (taking into consideration various scheduling conflicts due to the holiday season). SM Line could have timely sought third-party discovery if it had believed it was truly necessary, but it did not. If SM Line's Renewed Motion were granted, and assuming SM Line's third-party complaint survived a motion to dismiss, it would invariably require additional document discovery from [REDACTED] *See Botkin*, 956 F. Supp. 2d at 802-03 (denying leave to file Third-Party Complaint, even when motion was "technically timely" because it would have prolonged discovery and impact pre-trial deadlines).

It took SM Line approximately four months to complete document discovery and the addition of [REDACTED] can reasonably be expected to add at least as much time to the already-delayed case schedule. Courts recognize that prolonging litigation constitutes prejudice, particularly where the discovery process has been underway for several months, even if it has not been fully completed. *See Hogan v. Janos Indus. Insulation Corp.*, 102 F.R.D. 205, 207 (S.D.N.Y. 1984) (denying leave to file because discovery had been ongoing for several months).

3. A Third-Party Complaint Would Prejudice Complainant & Is Not Plausible

Respondent argues that filing a Third-Party Complaint almost six months after filing its answer would not prejudice Complainant. In its Renewed Motion, SM Line asserts that if its alleged "head-up" to SEA is not enough "to alleviate prejudice," then the alleged knowledge of *the proposed Third-Party Respondents* of potential contract claims against them should alleviate any prejudice to SEA. Ren. Mot. at 8. SM Line does not explain how purported knowledge of [REDACTED] would alleviate prejudice to SEA, which it does not.

SM Line also argues that [REDACTED] are not prejudiced because the proceeding is still in "early discovery" and "with the extended scheduling order, there is abundant time to prepare

and defend against any claims brought forth.” Ren. Mot. at 8. That says nothing about nor does it reduce the prejudice to SEA. Indeed, the need to extend the scheduling order was directly related to SM Line’s earlier failure to meet its discovery obligations.

Finally, the implausible claims on the “aforementioned and attached service agreements and service contracts” do not allege violations of the Shipping Act. The Third-Party Complaint is deficient on its face and if the Renewed Motion was granted a motion to dismiss would follow.

CONCLUSION

SM Line’s motion should be denied. Its renewal, after the first motion was denied,⁴ has failed to advance *any* allegations in support of its claims, and both motions consist of substantially similar arguments, which were previously rejected by the Presiding Officer. SEA notes that repetitious and vexatious filings such as these have been found to warrant sanctions in federal court. *Robinson v. Louisiana*, F. App’x 860, 862 (5th Cir. 2009) (the court found sanctions warranted, finding plaintiffs’ arguments “repetitious and vexatious” and “baseless.”).

Respectfully Submitted,

Dated: November 21, 2023

/s/ Chris Nolan

Christopher R. Nolan
Allison N. Skopec
Chiara Sackellares
HOLLAND & KNIGHT LLP
31 West 52nd Street
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com
allison.skopec@hklaw.com
chiara.sackellares@hklaw.com

Gerald A. Morrissey III
Kristine O. Little
HOLLAND & KNIGHT LLP
800 17th Street N.W., Suite
1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

Hyun Yoon
HOLLAND & KNIGHT
LLP 1650 Market Street,
Suite 3300
Philadelphia, PA 19103
Telephone: (215) 252-9537
eric.yoon@hklaw.com

⁴ SM Line asserts that it conferred with counsel. Ren. Mot. at 11. However, SM Line did not conduct a meet and confer as represented and SEA was unaware of the Renewed Motion until after it was served on November 14, 2023. SEA was not made “aware of and has been prepared for the addition of [REDACTED]” as SM Line yet again falsely claims just as it did in its first denied motion for leave to file.

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

Wook Chung
Vincent M. DeOrchis
Kaspar Kielland
Matteo Bonuzzi
Montgomery McCracken Walker & Rhoads LLP
427 Madison Avenue, 24th Floor
New York, New York 10022
WChung@mmwr.com;
VDeOrchis@mmwr.com;
KKielland@mmwr.com;
MBonuzzi@mmwr.com

Executed: November 21, 2023

/s/ Kristine Little